LLM Consultant

Quick clarification before I fill the distribution: you said 'weekly demand follows a normal distribution with mean 12 and sd 3' and asked to use daily units. Which conversion do you want me to use for daily demand? Reply with either:

A) Model daily demand as independent daily normals such that the weekly sum is N(12,3). This implies daily mean = 12/7 and daily sd = 3/sqrt(7).

B) Simply scale the weekly mean and sd by 1/7, i.e., daily mean = 12/7 and daily sd = 3/7.

Also, for the inventory dynamics, should unmet demand be treated as 'lost_sale' or as 'backlog'? Please answer with your choice for the conversion (A or B) and exactly one of 'lost_sale' or 'backlog'.

(Notice: I will ask about holding/penalty/setup costs, lead time, capacities, and finally risk tolerance — I will ask the risk-tolerance question last.)

Human Imitator

A) Model daily demand as independent daily normals such that the weekly sum is N(12,3). This implies daily mean = 12/7 and daily sd = 3/sqrt(7).